

THE MACRO PICTURE



India has for long been trying to boost its domestic manufacturing and export capabilities



Manufacturing growth has lagged overall economic growth



Schemes such as Make in India, production-linked incentives and export incentives have had limited success



India is reworking strategies amidst rising protectionism, cautious private sector and China+1 strategy



Creating new products and markets is the key to making manufacturing a growth driver

As a result, India's services or tertiary sector accounts for more than half the overall GVA; it contributed 55% of the GVA in FY25. Services exports shot up from \$158 billion in FY15 to \$387.5 billion in FY24. From 1.9% in 2005, India's services exports now account for 4.31% of the world's commercial services exports. In contrast, India's share in global merchandise exports remained well below 2% at about 1.8% in 2023. China (14.2%), the US (8.5%) and Germany (7.2%) occupy the top three positions in global merchandise exports share.

Of India's total exports of \$824.9 billion in FY25, services comprised nearly 47% at \$387.5 billion. A recent report by NSE says India ranks 16th in merchandise exports and seventh in services exports. India's share of merchandise exports in total exports is 56.2%, much below the global average of 75.3%.

Another report by global investment management firm Omniscience Capital also highlights these challenges, noting that there's a \$3 trillion opportunity in India's industrial sector by 2035. It points out that industry's share in the GDP of China, a major export-oriented economy, was 38% in 2023. In fact, for most developed economies, the industry's share in GDP is much higher than India's. They also have fewer people engaged in agriculture, the report points out. Industry includes manufacturing, mining, utility services, etc.

The need to push manufacturing has become more urgent in a volatile global economic environment where developments related to trade and tariffs are keeping most countries on the tenterhooks and impacting their growth prospects. Creating adequate employment opportunities for India's 60 million-plus strong labour force and moving workers from agriculture to more productive and remunerative avenues has also become a key priority for policymakers.

Besides, in light of the rise of protectionism across the world, a key priority of the government has been to turn India into an attractive investment destination for foreign investors and multinational companies.

Schemes such as the flagship Make in India, production-linked incentives and Atmanirbhar Bharat were unveiled to offset the impact of the Covid-19 pandemic and faltering private sector investments due to weak private demand and global uncertainties. Successive Budgets have also announced a slew of measures aimed at reviving the animal spirits of India Inc and attracting foreign invest-